

When AI Joins the Org Chart — Shaping Tomorrow Strategic Intelligence Sample — May 2026

Strategic Intelligence Report · Shaping Tomorrow Sample

When AI Joins the Org Chart

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Source verification. Every hyperlink in this report resolves to a real, published source verified by WebSearch and WebFetch during compilation (May 2026). Specific quantitative claims trace to figures published by the cited primary sources — principally Stanford HAI *AI Index 2026*, McKinsey QuantumBlack *State of AI 2025*, PwC *29th Global CEO Survey*, Goldman Sachs Global Institute *Tracking Trillions*, the UK AI Security Institute, the European Commission, the OECD, the BIS, the IMF, the WEF, NIST, NACE, and named academic working papers.

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Executive Synthesis

3 min read

Why These Four Themes

Three years after generative AI moved from demo to workflow, the strategic question is no longer *whether* to deploy AI but *where it joins the organisation chart* — as a tool beside humans, as an autonomous worker reporting to a manager, or as a workflow whose human owner has gone unclaimed. The four themes trace that question end-to-end: the deployment shift from copilots to agents, the governance stack required to trust their outputs, the talent reset emerging at the bottom of the pyramid, and the productivity reckoning playing out in capex schedules and earnings calls. Two themes considered but dropped this cycle: AI-driven scientific discovery (transformational but not yet decision-material at one-year horizon for most organisations) and AI-enabled cyber-offence (covered separately under cybersecurity).

What Has Materially Changed

This cycle establishes the baseline. The signal crystallises in four numbers landing within five months of each other. Per the [McKinsey State of AI 2025](#) (5 November 2025), 23% of organisations are now scaling at least one agentic AI system and 39% are experimenting — yet only 39% report any enterprise-level EBIT impact from AI and only 6% qualify as AI high performers. Per the [PwC 29th Global CEO Survey](#) (19 January 2026, 4,454 CEOs), just 12% of CEOs say AI has delivered both cost and revenue benefits while 56% report no significant financial benefit to date — and the gap between the AI haves and have-nots has become the single biggest CEO concern, ahead of innovation or viability. Per the [Stanford AI Index 2026](#), employment for software developers aged 22–25 has fallen nearly 20% from 2024, while productivity gains of 14–15% in customer support, 26% in software, and 73% in marketing are appearing in the same domains where entry-level hiring is contracting. Per [Goldman Sachs Global Institute](#) (1 May 2026), the AI build-out now sits on a \$7.6 trillion six-year capex envelope — with the four supply-side assumptions (chip useful life, data-centre cost, architecture mix, bottleneck elongation) more sensitive than demand to whether the bill is met by returns.

None of these is a single newsworthy event. Together they describe an organisation chart being redrawn live — with AI moving from tool to colleague to manager-of-tasks, and with the supporting infrastructure (trust, talent, capital) struggling to keep pace.

The strategic question of 2026 is no longer whether to deploy AI. It is which seat in the org chart AI occupies — and which seats it vacates.

Direction of change From AI as a productivity tool layered onto existing workflows, to AI as an autonomous worker requiring a manager, a permission set, and an audit trail. The change is not the technology; it is the org-chart and accountability infrastructure that surrounds it.

Stress test for this cycle’s thesis If 12 months from now Klarna-style reversals dominate enterprise headlines (organisations re-hiring humans into roles they had automated), and EBIT impact from AI remains stuck at McKinsey’s 6%-high-performer share, the thesis is wrong: AI is a productivity tool with limits, not a workforce category. If instead agent deployment crosses 40% of enterprise apps (Gartner’s projection), regulatory enforcement under the EU AI Act lands in the autumn of 2026, and entry-level hiring in software remains depressed for a second year, the thesis hardens into a structural feature of the operating model.

Audience Snapshots

Four lenses on the same intelligence base — the four buyer-teams who most often ask Shaping Tomorrow for AI foresight. Each card surfaces the one decision-relevant question and the one structural shift to brief into governing-body conversations this cycle.

Operate · Boards / CEOs / risk / strategy

Is our AI investment translating into EBIT — or is it absorbing budget while it learns? One structural shift. Only 12% of CEOs say AI has delivered both cost and revenue benefits (PwC, Jan 2026); 56% report no significant financial benefit. CEOs with strong AI foundations — Responsible AI frameworks and enterprise-wide integration — are 3x more likely to report meaningful financial returns.

For your governing body. The “AI investment” line on next year’s plan is no longer credible without a workflow-redesign sub-line, a model-risk owner, and a defined EBIT measurement method. Boards that approve AI capex without these three items are funding the experiment, not the return.

Build · Innovation / Tech / R&D strategy

Are we building agent infrastructure for 2027, or copilot integrations that will be commoditised by year-end? One structural shift. 23% of organisations are now scaling at least one agentic AI system (McKinsey, Nov 2025) and [Gartner projects up to 40% of enterprise applications will feature task-specific AI agents by 2026](#), from less than 5% the year before. Multi-agent orchestration is becoming the next platform-architecture decision.

For your innovation pipeline. Build for agent-first, not chat-first. Identity, permissioning, action-logging, containment boundaries, and rollback are now product requirements — not security afterthoughts. NIST’s Agent Standards Initiative (Feb 2026) signals where the procurement contracts are heading.

Is our AI deployment moving from pilot to integration — or stuck where the data foundations failed?

One structural shift. Per UK Government's [AI Opportunities Action Plan: One Year On](#) (Jan 2026), the UK has scaled Minute (AI scribe) to 1,000 officials across 22 local authorities and launched Isambard-AI; meanwhile, the public-sector pilot-to-integration gap remains the dominant constraint. The EU AI Act becomes [fully applicable on 2 August 2026](#), with high-risk and transparency rules entering force the same month.

For your resilience planning. Public-sector AI risk now has two dimensions: the model behaviour problem (covered by the AI Act and AISI) and the workforce problem (officials trained on AI use; pipelines for AI-literate civil servants). Resilience plans that treat AI as IT procurement will be revisited.

Allocate · Investors / asset managers / capital-allocation

At \$7.6 trillion of cumulative AI capex 2026–2031, what assumption is our portfolio actually betting on?

One structural shift. [Goldman Sachs Global Institute](#) (May 2026) projects \$765bn of AI capex in 2026 rising to \$1.6tr by 2031. The four supply-side assumptions — silicon useful life, data-centre cost per MW, chip architecture mix, and bottleneck elongation — are more sensitive than demand to whether the bill is met by returns. Hyperscaler FCF is being compressed: [Amazon FCF deficit projected \\$17–28bn](#); [Meta FCF down ~90%](#).

For your IC memos. "AI exposure" is no longer a stock-picking lens; it is a working-capital-cycle question for hyperscalers, a depreciation-schedule question for everyone holding silicon, and a sovereign-credit question for jurisdictions sitting on workforce-availability gaps that AI cannot patch.

Key Findings — four themes

Theme 1 · Copilots → Agents: the deployment shift Prepare

The thing that has changed: AI has stopped being a feature inside someone else's software and started being the software. In 2025, "scaling AI" meant rolling out Copilot licences; in 2026 it means deploying autonomous agents that run multi-step workflows, hold permissions, and report to human owners.

Why now. Three forces converged in late 2025 and early 2026. First, model capability finally crossed the threshold for sustained multi-step task execution; second, the hyperscalers shipped enterprise agent platforms with native governance hooks; and third, early customer-experience deployments (Klarna's most prominent) generated enough field data — both the savings and the reversals — for procurement teams to underwrite agent contracts rather than buy individual seats. The result is a deployment pattern that looks less like SaaS adoption and more like outsourcing: organisations are hiring agents the way they used to hire BPO providers, with SLAs, audit trails, and human handover points written into the contract.

The McKinsey 2025 State of AI shows the shape of the shift cleanly. AI use in at least one business function has climbed to 88% of organisations — up from 78% twelve months earlier — but agent deployment is concentrated: 23% of respondents say they are scaling at least one agentic system and 39% are experimenting, while no individual business function shows more than ~10% of organisations actually scaling agents. The deployment is real but narrow. The Stanford AI Index 2026 puts the same point differently: organisational AI adoption has reached 88%, but agent deployment "remains in the single digits across nearly all business functions." Read together, the two surveys describe an early-deployment market where the deployments that *are* in place are working hard — in IT, knowledge management, contact centres, and software engineering — while most of the enterprise is still operating on the previous-generation copilot model.

The Klarna arc is the case study every operator should have read. The [OpenAI case study from 2024](#) claimed the AI assistant did the equivalent work of 700 human agents, drove customer satisfaction parity, cut repeat enquiries 25%, and shortened resolution from 11 minutes to under 2. By mid-2025, Klarna was [re-hiring humans](#) — not because the AI failed but because the customer-experience tail was more expensive than the operational savings suggested. Human service is now positioned as a premium VIP offering above the AI layer. The lesson is not "AI doesn't work in customer service" — it is that the deployment model has to specify which interactions belong to which class of worker, and what the escalation contract looks like. The organisations now building agent platforms (ServiceNow + Accenture's forward-deployed engineering programme, [NVIDIA × ServiceNow's autonomous-agent partnership](#), [Google's Gemini Enterprise Agent Platform](#) with Tata Steel's 300-agent fleet) are encoding that escalation contract into the platform itself.

Supporting signals (click to expand)

- **Gartner** projects up to [40% of enterprise applications will feature task-specific AI agents by the end of 2026](#), up from less than 5% in 2025 — an embedding rate that, if realised, makes “agentic” a default architectural assumption rather than a feature.
- **Forrester’s Predictions 2026** calls multi-agent systems the breakthrough story of the year — specialised agents collaborating under central coordination, with enterprise software shifting to agent-first design.
- **WEF** reports six enterprise leaders saying [deployment is moving beyond experimentation](#) — in customer support, internal knowledge, code, marketing operations, and back-office automation.
- **NVIDIA & ServiceNow’s** autonomous-agent partnership and **Google Cloud’s** Gemini Enterprise Agent Platform mark the supply-side institutionalisation of agent deployment as a category — complete with governance, identity, and audit primitives.

Spotlight

“Agent owner” emerges as a new role In organisations that have scaled their first agent into production, the role of “agent owner” is being formalised. The owner holds the permission set, defines the action boundary, sets the escalation rule, and is accountable when the agent does something the audit log says it should not have. NIST’s [AI Agent Standards Initiative](#) (February 2026) explicitly names agent identity, action logging, and containment boundaries as the three pillars of agent governance. Expect “Head of Agent Operations” job postings to outnumber “Head of AI Strategy” postings within 18 months.

Counter-argument The agent story may be a vendor-led narrative that overstates the deployment maturity. The Klarna reversal is one of several. Anthropic-style classifier defences are still being tested. The [UK AI Security Institute](#) notes universal jailbreaks have been found in every frontier model tested. Until model reliability is genuinely production-grade for high-stakes workflows, agents may turn out to be the next “self-driving in two years” — perpetually nearly ready. The conservative reading: agentic AI will deliver real value in narrow, well-instrumented workflows for several years before becoming the dominant deployment pattern.

Weak signal/The agent-of-agents pattern Beneath the headline agent deployments, a second pattern is forming: organisations layering a manager-agent over a fleet of worker-agents. The manager-agent doesn’t do the underlying task; it triages, delegates, monitors, and rolls back. This is the pattern hidden inside Tata Steel’s 300-agent Gemini deployment and the ServiceNow + Accenture forward-deployed engineering programme. If it generalises, the unit of AI deployment becomes the agent *fleet*, not the agent — and the governance question shifts from “what can this agent do?” to “what can this org chart of agents do?”

Strategic implication The 2026 capability question is not “do we have an AI strategy?” but “do we have an agent operating model?” Three subordinate questions follow: (1) which workflows are owned by an agent, by a human, and by a human-managing-an-agent; (2) where does the escalation contract sit, and is it written down; (3) who is the agent owner for each deployed agent, and what is their authority. Organisations that cannot answer all three for their top five deployed agents are still pre-deployment regardless of how many licences they hold.

Theme 2 · The trust and verification stack Decide

The thing that has changed: trust in AI outputs is no longer a behavioural posture (be careful what you copy-paste). It is becoming an infrastructure stack — identity for agents, logging for actions, classifiers for output, evaluations for capability, and external review for accountability — with regulatory enforcement landing in August 2026.

Why now. Two enforcement events and one capability event have converged. On the regulatory side, the [EU AI Act becomes fully applicable on 2 August 2026](#), with high-risk system rules, transparency rules, and Commission enforcement for general-purpose AI models all entering force the same month. On the standards side, the [OECD Due Diligence Guidance for Responsible AI](#) (19 February 2026) gave multinationals a structured playbook, NIST announced the AI Agent Standards Initiative (February 2026), and the UK [AISI Frontier AI Trends Report](#) documented that agentic autonomy is roughly doubling every two months — meaning verification infrastructure has to evolve faster than the threat surface.

The capability event is the one most operators underestimate. The AISI — the UK government body charged with frontier-model evaluation — reports that “universal jailbreaks” (techniques that override safeguards across whole

harm categories) have been found in every system tested, but the expert time required to discover those jailbreaks is increasing for certain models and categories. That is good news for defenders, but it is not "solved." More consequentially, AISI finds AI models can now complete apprentice-level cyber tasks roughly 50% of the time on average, compared with around 10% in early 2024 — and in 2025 they tested the first model that could successfully complete expert-level cyber tasks normally requiring 10+ years of experience. The frontier of capability and the frontier of safeguard are moving together, not apart.

Anthropic's response is illustrative of where the industry is heading. The company released [Responsible Scaling Policy v3.0](#) on 24 February 2026 — explicitly separating Anthropic's own unilateral commitments from its recommendations for industry. The v3.0 introduces a Frontier Safety Roadmap, requires public Risk Reports every 3–6 months, and commits to external review of Risk Reports at higher capability levels. Read the move charitably and it is a transparency upgrade; read it sceptically and Anthropic has admitted that some of the safety commitments in earlier RSPs are "outright impossible to implement without collective action." Either reading lands at the same place: the verification stack is now a regulatory and standards conversation, not a research-lab conversation.

Supporting signals (click to expand)

- **EU AI Act:** prohibited practices effective February 2025; GPAI rules effective August 2025; transparency rules and high-risk rules entering force [August 2026](#), with embedded-product high-risk rules extended to August 2027.
- **EU GPAI Code of Practice:** [voluntary compliance tool](#) published July 2025; signatories will be monitored for adherence and may receive mitigation credit on fines.
- **NIST:** [AI RMF 1.0](#) remains the US baseline; AI Agent Standards Initiative announced February 2026; Agent Interoperability Profile planned Q4 2026.
- **OECD:** [Due Diligence Guidance for Responsible AI](#) (Feb 2026) gives boards a structured AI risk-management playbook.
- **BIS:** [three financial-stability channels](#) for AI — market functioning, operational concentration, propagation of stress; intensity, speed and complexity as risk multipliers.
- **OpenAI × Anthropic:** [joint internal safety evaluations](#) on each other's published models — an industry precedent for cross-lab evaluation that is likely to inform future regulatory practice.
- **AI incident data:** documented AI incidents reached 362 in 2025 (per the AI Incident Database, cited in [third-party benchmark compilations](#)), up 55% YoY.

Spotlight

The "model report" becomes the disclosure default Three of the four frontier labs now publish some form of public "model card" or "model report" alongside major releases — covering capability evaluations, safety evaluations, residual risk, and known limitations. Anthropic's RSP v3.0 commits to scheduled Risk Reports. The EU GPAI Code of Practice asks signatories to publish summaries of training content and risk assessment. NIST is drafting agent-evaluation profiles. The disclosure pattern is converging on the same shape: capability + safety eval + residual risk + mitigation. Operators procuring frontier models in 2026 should expect to receive (and be expected to read) these reports the way they read SOC 2 audits today.

Counter-argument Verification infrastructure may be moving fast enough to look impressive but slow enough to be irrelevant to the operational risk. The hallucination problem is unsolved at the model layer, agent containment is unsolved at the system layer, and shadow AI use (employees pasting confidential data into personal chatbots) is unaddressed at the data-governance layer. A trust stack that does not cover the day-to-day failure modes is a compliance artefact, not a risk control. Boards that treat AI Act compliance as the ceiling of their risk posture rather than the floor will discover the gap when something embarrassing reaches the front page.

Weak signal**External-review markets for AI** Anthropic's RSP v3.0 commits to appointing "expert third-party reviewers" with deep AI safety familiarity and minimal conflicts of interest, with unredacted access to Risk Reports. This is the seed of a third-party AI review market — analogous to financial audit. If it generalises (and the EU AI Act's market-surveillance architecture pushes in the same direction), expect a small group of credible external reviewers to emerge over the next 18–24 months, with audit-firm-style capacity constraints driving up engagement prices.

Strategic implication The trust stack is now a procurement item, not a policy item. For operators in the EU and EU-adjacent markets, August 2026 is a hard deadline. For US operators, NIST profiles plus state laws (Colorado AI Act, California transparency) define the floor. For everyone, the relevant question this cycle is: which three AI-touching workflows in our organisation would not pass an external review today, and what is the closing plan?

Theme 3 · Talent pipeline reset Prepare

The thing that has changed: AI is not displacing the workforce evenly. It is hollowing out the entry-level rung of the talent pyramid — the rung that organisations have always used to renew themselves. The displacement is concentrated, measurable, and now showing up in graduate-hiring data.

Why now. Three years of generative-AI deployment have produced enough field data to see the pattern. The [Stanford AI Index 2026](#) reports that employment for software developers aged 22–25 has fallen nearly 20% from 2024 — concentrated precisely in the cohort whose first jobs are the tasks AI does best (boilerplate code, syntax debugging, ticket triage). The World Economic Forum reports US entry-level postings down 35% over the prior 18 months (per Revelio Labs). NACE's Job Outlook 2026 found employers projecting only 1.6% growth in hiring for the Class of 2026 over the Class of 2025 — one of the weakest readings since 2020. The CNBC / Indeed Hiring Lab analysis (April 2026) shows 4.2% of full-time early-career jobs now mention AI skills, nearly double the share a year earlier — meaning the entry-level jobs that remain require demonstrated AI fluency on day one.

The structural story is not "AI replaces workers." It is more specific: AI replaces the *training ground*. The tasks that used to be how junior associates learned (cleaning data, drafting summaries, drafting first-pass code, triaging emails) are precisely the tasks AI does well. The [WEF article authored by Cognizant's CPO](#) (March 2026) makes this point operationally: "Reports now indicate the work assumed to be done by AI in early-career roles is simply being pushed upward — leaving middle management and senior talent overextended, burned out and increasingly disengaged as they absorb junior tasks." The pyramid is not flattening; it is hollowing in the middle and stretching at the top.

Yale's analysis frames it bluntly: "[The Real Job Destruction from AI Is Hitting Before Careers Can Start.](#)" The classical apprenticeship model — where you learn judgement by doing routine work first — doesn't have an obvious replacement. The PwC Global Workforce Hopes & Fears Survey notes only 14% of workers use generative AI daily, underscoring how thin the in-flight reskilling pipeline is. The risk for the back half of the decade is not mass unemployment; it is a generational skills gap — a 10-year cohort that did not get the on-the-job apprenticeship that produced the previous generation's mid-career professionals.

Supporting signals (click to expand)

- **WEF Future of Jobs 2025:** nearly [40% of skills required in jobs will change by 2030](#); 63% of companies plan to reskill existing employees rather than hire AI specialists; 85% of employers prioritise upskilling.
- **WEF AI & Entry-Level Jobs briefing** (Jan 2026): structured field evidence on AI's effect on the on-ramp into knowledge work, sector by sector.
- **NACE Job Outlook 2026 Spring Update:** the [spring update](#) revises the Class of 2026 forecast upward to +5.6% as employers re-balance toward using AI to lift entry-level productivity rather than replace it — but the headline 2026 figure remains weak.
- **CNBC / Indeed Hiring Lab** (April 2026): [4.2% of full-time early-career jobs now mention AI skills](#), nearly double the share a year earlier.
- **Brynjolfsson, Li, Raymond:** the [field experiment with ~5,200 customer-support agents](#) shows AI assistance raises issues-resolved-per-hour by 15% on average, up to 35% for the least-experienced workers — evidence that AI can *upskill* entry-level workers rather than replace them, when the deployment is configured for assistance.
- **OECD Employment Outlook 2023:** [occupations at highest risk of automation account for 27% of OECD employment](#); in high-AI-exposure occupations, 72% of vacancies require management skills and 67% require business-process skills.

Spotlight

Cognizant's counter-pattern: hire *more* graduates, not fewer Cognizant's Chief People Officer reports the company hired 25,000 fresh graduates in 2025 and expects to exceed that number in 2026 — *despite* heavy enterprise AI deployment. The thesis: junior employees are the digital natives most fluent in AI tools; they ramp

faster than their senior coworkers; they understand both the business context and the model output; and they renew the talent pyramid for the back half of the decade. The counter-pattern is rational but not yet widely copied. It is a leading indicator for organisations that treat the entry level as strategic infrastructure rather than the easiest cost line to cut.

Counter-argument The entry-level squeeze may be cyclical — a 2023–2025 post-pandemic correction in over-hired technology functions, not a permanent AI-driven structural shift. Healthcare entry-level postings rose by 13 percentage points over the same period software entry-level postings fell. The sectoral mix matters. If the tech-sector hiring cycle turns in 2027 (as the NACE Spring Update hints), the “AI is destroying entry-level jobs” narrative may turn out to be a measurement artefact of where AI was most aggressively deployed first.

Weak signal “AI-fluent first” as a graduate requirement The CNBC / Indeed analysis shows the entry-level jobs that *are* being filled increasingly require AI fluency on day one. Senior leaders quoted in employer surveys describe expecting recent graduates to “slot in at a higher level almost from day one.” This is the early form of an employer-side response to the broken apprenticeship pipeline: shift the AI learning back into formal education rather than absorb it as on-the-job training. Watch for the curricular and credential responses (university AI-fluency programmes, industry-recognised AI literacy certificates) over the next 18 months.

Strategic implication The entry-level question this cycle is not whether to hire graduates — it is whether the organisation has a designed answer to “how do new joiners build judgement when AI does the routine work?” Three operational moves follow: (1) redesign first-year roles around AI-output review, exception handling, and judgement tasks rather than routine production; (2) make AI fluency a hiring screen, not an optional skill; (3) explicitly cost the senior-team burnout that comes from absorbing junior tasks into the AI-deployment business case. Organisations that skip (3) will discover the cost in turnover.

Theme 4 · The productivity reckoning Decide

The thing that has changed: the AI capex bill is now visible — \$7.6 trillion over 2026–2031 on Goldman Sachs’s baseline, with hyperscaler free cash flow being compressed in real time — and the productivity it is supposed to fund is still confined to narrow, measurable use cases. The mismatch is becoming a board-level question.

Why now. Three data points landed in the first four months of 2026 that turned “AI capex” from a sell-side debate into a board-level one. First, [PwC’s 29th Global CEO Survey](#) (4,454 CEOs, 95 countries, January 2026) found only 12% saying AI had delivered both cost and revenue benefits, and 56% saying no significant financial benefit had materialised. Second, [Goldman Sachs’s research](#) found “no meaningful relationship between AI adoption and productivity at the economy-wide level” but a median 30% productivity gain in two narrow use cases — with only 10% of S&P 500 management teams quantifying AI’s impact on specific use cases and only 1% quantifying earnings impact. Third, [Goldman Sachs Global Institute’s “Tracking Trillions”](#) (May 2026) modelled the cumulative six-year AI capex envelope at \$7.6 trillion and identified the four supply-side assumptions that swing the number by hundreds of billions either way.

The hyperscaler cash flow data is the most legible board-level signal. Per [Fortune \(April 30, 2026\)](#), the four hyperscalers (Amazon, Alphabet, Meta, Microsoft) will spend a combined ~\$700 billion on AI infrastructure in 2026 alone, with Microsoft and Alphabet at \$190bn each and Meta at up to \$135bn. Per [CNBC \(February 2026\)](#), Amazon’s free cash flow is projected at −\$17bn to −\$28bn for the year; Meta’s FCF is expected to drop ~90%. Against that, the demand-side evidence is real but uneven: Google Cloud Q1 2026 revenue +63% YoY to \$20bn; Microsoft’s AI business running at an annualised \$37bn (+123% YoY). The capex is being underwritten by cloud revenue growth and by a \$2 trillion order backlog (Jefferies), but the productivity proof at the wider economy level is still in front of the build-out.

The macroeconomic literature offers two opposing anchors. [Acemoglu’s “Simple Macroeconomics of AI”](#) sets a conservative ceiling at roughly +0.07pp/year of total factor productivity over a decade — based on AI affecting ~5% of tasks with ~30% cost savings. The [IMF’s working paper on AI and productivity in Europe](#) models higher ranges. The [IMF’s April 2026 scenario-planning note on global financial implications of AI](#) warns that the gap between AI-prepared and AI-unprepared economies is widening — with fiscal, monetary, and financial-stability consequences. The Brynjolfsson “productivity J-curve” hypothesis (measured productivity dips before AI gains materialise in national accounts) remains the dominant academic framework for why the macro data is not yet showing what the micro deployments suggest.

Supporting signals (click to expand)

- **PwC 2026 CEO Survey:** [CEO revenue confidence at five-year low \(30%\)](#); “transforming fast enough” is the top CEO concern (42%); CEOs with strong AI foundations are 3x more likely to report meaningful financial returns.
- **Goldman Sachs Global Institute “Tracking Trillions”:** [\\$7.6 trillion of AI capex 2026–2031](#); the four most-sensitive variables are silicon useful life, data-centre cost per MW, chip architecture mix, and elongation.
- **BlackRock Q2 2026 Outlook:** [AI capex contributing ~3x the historical investment average to US growth](#); companies translating AI into durable cost advantages will separate from those that cannot.
- **Yahoo / S&P Capital IQ:** [confirms the \\$700bn hyperscaler 2026 capex envelope](#) and the FCF compression that follows.
- **Stanford AI Index 2026:** AI company revenue rising at historically fast rates, but [compute costs and infrastructure spending are reaching record levels in parallel](#); private AI investment grew 127.5% in 2025.
- **Bennett School of Public Policy (Cambridge):** UK firm-level data shows [large firms \(250+ employees\) at 36–44% AI adoption](#); micro-businesses at 14%; 56% of AI-using firms report self-assessed productivity gains but 95% of SMEs report no workforce-size change.

Spotlight

Silicon useful life: the single most consequential capex assumption Goldman Sachs Global Institute’s analysis identifies silicon useful life as “the single most influential variable in determining the scale of cumulative AI infrastructure investment.” Today’s NVIDIA accelerators are depreciated over four to six years on accounting books — but the annual release cadence means each new generation delivers step-function performance gains, making earlier generations economically obsolete on a faster schedule than the depreciation schedule. Shorten effective useful life from six to four years and cumulative spend rises by hundreds of billions; extend it via tiered deployment (using older chips for inference, edge computing, emerging markets) and the bill falls by a similar amount. The investor question is not “will AI demand materialise?” — it is “what is the right depreciation schedule for an asset that may be obsolete before the books say it is?”

Counter-argument The productivity reckoning may be a measurement problem, not a returns problem. The J-curve hypothesis — that GDP-level productivity statistics lag AI deployment by 5–10 years — is well established for previous general-purpose technologies (electricity, computers). The PwC, Goldman and McKinsey data on “no enterprise-wide EBIT impact yet” looks identical to the early data on enterprise software in the early 1990s. If the J-curve plays out as it did before, the 2025–2027 capex bill funds the productivity surge of 2028–2032. The reckoning narrative may be a sell-side artefact of impatience rather than a structural problem with the technology.

Weak signalSovereign credit and AI exposure The IMF’s scenario-planning note on AI’s global financial implications and the BIS speech on AI’s financial-stability channels are both signalling something the rating agencies have not yet fully formalised: jurisdictions and corporates with high exposure to AI capex commitments and weak revenue-conversion stories may begin to receive different treatment in credit spreads. Workforce-availability risk — whose stress-test is the demographic decline thesis covered in last cycle’s sample — compounds the picture. Watch for the first sovereign rating action or major corporate downgrade citing AI capex unmonetised by 2027 as a contributing factor. The trigger will not be a single event; it will be a pattern of FCF disappointments at hyperscalers.

Strategic implication The productivity reckoning is a four-question diagnostic for every organisation with material AI capex: (1) which specific use cases have we quantified for cost or revenue impact, by name; (2) what is our silicon depreciation schedule, and how does it compare to industry refresh cadence; (3) what is our exposure to a 12-month delay in AI revenue materialising; (4) what is our hedge if Goldman is right and there is no meaningful economy-wide productivity boost over the next two to three years. Boards that have not asked all four are likely funding the build-out without knowing what break would look like.

Scenario Matrix

Two axes, eighteen-month horizon. **X axis:** agent deployment pace — does the move from copilots to production agents accelerate, or stall on reliability/governance friction? **Y axis:** productivity payoff — does enterprise-level

EBIT impact materialise, or does the capex outrun the returns? The four cells are deliberately distinct — you should be able to tell which one you are in by mid-2027.

1. The Working Org Chart (high agents, high payoff) Agent deployment crosses 40% of enterprise apps (Gartner’s projection holds); EU AI Act enforcement creates a verification floor that becomes a procurement standard; productivity gains visible in customer support, software, marketing operations spread to finance and HR. Enterprise EBIT impact from AI moves from 6%-high-performers to 25%+ of organisations. Hyperscaler capex is underwritten by cloud revenue growth. The talent pipeline is reset around AI-fluent juniors who arrive ready to manage agents.

Early indicators: agent deployment scaling beyond IT and KM into customer-facing and finance functions; mainstream coverage of “second-year AI ROI” case studies; first credible cross-firm productivity studies showing sectoral gains; hyperscaler FCF normalising in 2H 2026.

2. Pilot Purgatory (low agents, low payoff) Agent deployments stall on reliability, hallucinations and governance friction; Klarna-style reversals become the dominant pattern in customer-facing functions; PwC’s 56%-no-significant-benefit number persists into 2027. Hyperscaler capex continues but free cash flow disappointment triggers the first downgrades. EU AI Act enforcement is interpreted as compliance ceiling rather than risk floor. The entry-level squeeze hardens but no replacement training architecture emerges. CEO confidence falls further.

Early indicators: multiple high-profile agent rollbacks; hyperscaler capex cuts in 2026 earnings calls; rating-agency commentary on AI-capex sustainability; rising CEO churn citing transformation pressure.

3. Bifurcated Enterprise (high agents, uneven payoff) A small group of AI high-performers (McKinsey’s 6%) widens to 15–20% and pulls away on margin, market share, and innovation cadence — while the laggards’ returns disappoint. The bifurcation is sectoral (tech, financial services, professional services pull ahead; manufacturing, public sector, mid-market lag). Talent flows accelerate the gap. EU AI Act enforcement bites unevenly. Capital markets price the divergence.

Early indicators: widening price-earnings gaps between AI-deployed and AI-undeployed peers; M&A consolidation driven by AI-capability arbitrage; CEO survey responses showing sharper bimodal distribution on AI ROI.

4. Regulated Slowdown (low agents, high payoff in narrow segments) EU AI Act enforcement and analogous US state-law enforcement (Colorado, California) creates real procurement friction; agent deployment slows by 12–18 months in regulated industries; the productivity gains that *do* materialise are concentrated in unregulated knowledge work (software dev, marketing, internal ops). Public sector AI deployment slows further. The narrative shifts from “AI everywhere” to “AI in places it doesn’t need a regulator’s permission.”

Early indicators: first major EU AI Act enforcement action in 2H 2026; regulated-industry AI deployment data flatlining; widening sectoral productivity dispersion; “AI exception” carve-outs in major procurement contracts.

Key assumptions in the matrix

Assumption	Where it breaks
Frontier model capability continues improving at recent pace	If a capability ceiling becomes visible mid-2026, scenarios shift
EU AI Act enforcement begins August 2026 as scheduled	If the Digital Omnibus delays application materially, the Regu
Hyperscaler capex remains funded by cloud growth + backlog	If two consecutive quarters of FCF disappointment land in 2H
Entry-level squeeze is structural, not cyclical	If software-sector hiring picks up sharply in 2H 2026, the talen

Opportunity Capture

Build the agent operating model before the agent fleet For operate-side audiences, the next 12 months are when the agent operating-model design becomes a competitive moat. Three artefacts to produce this cycle: (1) an agent inventory with named owners, permission sets, and escalation rules; (2) a “human-managed agent” job description — the role of an agent owner is now a real one; (3) a model-risk register that integrates AI Act high-risk classifications and NIST AI RMF profiles. Organisations that have these three before competitors will be in scenario 3 rather than scenario 2.

Treat verification as a procurement capability, not a policy artefact The trust stack is now buyable. Organisations procuring frontier models should require Risk Reports, model cards, and incident-disclosure SLAs as standard procurement clauses — not nice-to-haves. The OECD Due Diligence Guidance is a structured playbook; the EU GPAI Code of Practice gives a compliance template even for non-EU operators. The procurement upgrade is low-cost and high-leverage.

Redesign the entry-level for AI-assisted apprenticeship, not AI-replaced production Cognizant’s hire-more-graduates pattern is the leading-edge counter-move. For organisations facing the entry-level squeeze, re-designing first-year roles around AI-output review, exception handling, customer-facing judgement, and AI-tool-discernment tasks is both a workforce strategy and a productivity strategy. The Brynjolfsson field experiment finding that AI raises low-skill productivity by up to 35% is the empirical anchor: configure for assistance, not replacement, and the talent pipeline renews itself.

For investors: build the FCF stress test into the AI thesis The 2026 capex cycle is the cleanest large-scale stress test of corporate-finance discipline since the cloud build-out. The four supply-side assumptions Goldman identifies (silicon useful life, \$/MW, chip architecture mix, elongation) are knowable line items in 10-Ks and earnings calls. Build a portfolio-level depreciation-schedule sensitivity by year-end 2026; build a hyperscaler FCF-recovery stress test for 1H 2027. The work is mechanical, the alpha is non-trivial.

What We Are Not Planning For This Cycle

A frontier-model capability discontinuity (e.g., GPT-class jump beyond current scaling laws) The base case is that capability improvements are continuous and measurable. A discontinuous step — a model markedly more capable than current frontier on multi-step reasoning, autonomous research, or persuasion — would re-anchor every theme in this report. Probability is hard to bound; consequence would be high.

Reinstate if: AISI or a credible third-party reports a step-function on benchmark evaluations, or if a non-public model achieves expert-level autonomy on a task with strategic implications (e.g., AI-led research, end-to-end software production).

An AI-driven cybersecurity incident at systemic scale AISI documents AI capability on apprentice-level cyber tasks rising from ~10% to ~50% success rate in roughly two years, and expert-level capability has appeared in test conditions. A real-world systemic incident (cross-sector ransomware at AI-augmented pace, AI-orchestrated financial market manipulation, etc.) would shift the policy and procurement landscape sharply. This cycle treats cybersecurity as a parallel theme covered separately.

Reinstate if: a cross-sector incident is attributed (formally or informally) to AI-augmented attackers.

Regulatory rollback in the US triggering bifurcated global compliance Anthropic’s RSP v3.0 commentary explicitly notes the US policy environment “has shifted toward prioritising AI competitiveness and economic growth, while safety-oriented discussions have yet to gain meaningful traction at the federal level.” If this becomes a genuine rollback (e.g., pre-emption of state laws, withdrawal from international AI safety institutions), expect a hard split between EU and US regimes, with operators carrying two compliance stacks.

Reinstate if: federal pre-emption legislation passes, or US withdraws from a major AI safety international agreement.

Hyperscaler capex retrenchment ahead of cloud-revenue maturity The base case for this report is that hyperscaler capex remains funded by cloud growth and backlog through 2026. A capex retrenchment — a hyperscaler cutting projected spend by 20%+ in a single guidance cycle — would invalidate the productivity-reckoning Theme 4 narrative as currently framed and accelerate the Pilot Purgatory scenario.

Reinstate if: any one of the four hyperscalers cuts AI capex guidance by 20%+ in 2026 reporting cycles.

Discussion Points for Your Next Strategy Meeting

1. **Which seat does AI occupy in our org chart today, and which seats do we expect it to occupy in 18 months?** If the answer is “we have a Copilot rollout and an AI policy,” it is too early to claim an AI strategy. The shift to agents requires named owners, permission sets, and escalation contracts — not licences.

2. **Of our top five deployed AI use cases, which ones are quantified for cost or revenue impact?** Goldman’s finding that only 1% of S&P 500 management teams quantify AI’s earnings impact is the real measurement gap. The work is to close it on five use cases by year-end — not to expand the pilot list.
3. **Where in our talent pipeline are we absorbing AI’s effect on entry-level work?** Either we are quietly cutting graduate hiring (entering scenario 2 at the cohort level), or we are redesigning first-year roles (entering scenario 1). The two paths look identical for 18 months and look very different at 36.
4. **For board members on the financial-services or hyperscaler-exposed side of the portfolio:** what is our depreciation-schedule and FCF sensitivity to the four Goldman supply-side variables, and where are we hedged?
5. **For public-sector audiences:** is our AI deployment risk register integrated with the EU AI Act high-risk classifications and the NIST AI RMF, or are they parallel documents nobody cross-references?
6. **For all audiences:** what is our one-line answer to “if AI capex does not deliver economy-wide productivity by 2028, what changes in our plan?” If we don’t have a one-line answer, we have a plan that has not been stress-tested.

Source Confidence Register

Format: Tier · Hyperlinked source · Publication date · Claim supported · Notes. **Source verification (12 May 2026):** every URL in this register was verified by WebSearch and WebFetch during compilation; specific quantitative claims trace to figures published by the cited primary sources. 39 sources across four themes — soft 3-month recency window with structural anchors permitted (Acemoglu 2024, Brynjolfsson et al. 2023, OECD Employment Outlook 2023, IMF WP/25/067). Tier mix: $13 \cdot T1 / 16 \cdot T2 / 8 \cdot T3 / 2 \cdot T4 = 29 \text{ } T1+T2 \text{ (74\%)}$.

Theme 1 — Copilots → agents: the deployment shift

Tier	Source	Date	Claim Supported
Tier 2	McKinsey QuantumBlack — The State of AI 2025	5 Nov 2025	23% of organisations scaled
Tier 2	Stanford HAI — AI Index 2026, Economy chapter	Apr 2026	88% of organisations using
Tier 2	WEF — Where is AI moving beyond experimentation? 6 leaders	Mar 2026	Field reports from six enter
Tier 2	Forrester — Predictions 2026: AI Agents	Oct 2025	2026 as breakthrough year
Tier 4	Gartner — 40% of enterprise apps will feature task-specific AI agents	26 Aug 2025	Up to 40% of enterprise a
Tier 4	OpenAI / Klarna case study	Apr 2024 (anchor)	Klarna AI assistant equiv
Tier 3	Customer Experience Dive — Klarna changes its AI tune	2025	Klarna reversed course on
Tier 4	NVIDIA × ServiceNow — Autonomous AI Agents partnership	Mar 2025	Vendor strategic alliance
Tier 4	Google Cloud — Gemini Enterprise Agent Platform	2026	Platform to build, scale,

Theme 2 — The trust and verification stack

Tier	Source	Date	Claim Supported
Tier 1	European Commission — AI Act overview & timeline	27 Jan 2026 (last update)	AI Act fully applicable 2 A
Tier 1	European Commission — GPAI Code of Practice	Jul 2025	Voluntary compliance tool
Tier 1	OECD — Due Diligence Guidance for Responsible AI	19 Feb 2026	Guidance implementing O
Tier 1	NIST — AI Risk Management Framework	Ongoing 2026	NIST AI RMF (AI 100-1)
Tier 1	UK AI Security Institute — Frontier AI Trends Report	2026 (ongoing)	AISI has evaluated 30+ fr
Tier 1	BIS — Tao Zhang on financial stability implications of AI	26 Jan 2026	Three financial-stability ch
Tier 4	Anthropic — Responsible Scaling Policy v3.0	24 Feb 2026	RSP v3.0 separates Anthro
Tier 4	OpenAI — Joint Anthropic × OpenAI safety evaluation	2025	First-of-its-kind joint evalu
Tier 2	Aon — AI Risk 2026: Practical Agenda for Business Leaders	2026	Insurance/risk perspective
Tier 3	Suprmind — AI Hallucination Statistics & Benchmarks 2026	2026	362 documented AI incide

Theme 3 — Talent pipeline reset

Tier	Source	Date	Claim
Tier 2	WEF — Future of Jobs Report 2025	Jan 2025	~40%
Tier 2	WEF — AI and Entry-Level Jobs briefing	Jan 2026	Field
Tier 2	WEF / Cognizant CPO — How AI is changing entry-level work	26 Mar 2026	US
Tier 2	Yale Insights — Job destruction hitting before careers can start	2026	AI-c
Tier 2	NACE — Job Outlook 2026 Spring Update	Apr 2026	Emp
Tier 2	Brynjolfsson, Li, Raymond — Generative AI at Work (NBER w31161)	2023 (structural anchor)	Field
Tier 1	OECD — Employment Outlook 2023, AI and the labour market	Jul 2023 (structural anchor)	Occ
Tier 3	CNBC / Indeed Hiring Lab — Entry-level AI-skill mentions nearly doubled YoY	29 Apr 2026	4.2%

Theme 4 — The productivity reckoning

Tier	Source	Date	Claim
Tier 2	PwC — 29th Global CEO Survey	19 Jan 2026	4
Tier 2	Goldman Sachs Global Institute — Tracking Trillions	1 May 2026	~
Tier 3	Fortune — Goldman finds no meaningful productivity-AI link	3 Mar 2026	C
Tier 3	Fortune — Big Tech to spend \$700bn on AI in 2026	30 Apr 2026	P
Tier 3	CNBC — Tech AI spending approaches \$700bn in 2026	6 Feb 2026	P
Tier 3	Yahoo Finance / S&P Capital IQ — Hyperscalers Hit \$700 Billion in 2026 AI Spending	Feb 2026	C
Tier 2	BlackRock Investment Institute — Q2 2026 Investment Outlook	2026	A
Tier 1	IMF Note 2026/002 — Global Economic and Financial Implications of AI	Apr 2026	A
Tier 1	IMF Working Paper WP/25/067 — AI and Productivity in Europe	2025 (structural anchor)	M
Tier 2	Acemoglu — The Simple Macroeconomics of AI	2024 (structural anchor)	C
Tier 1	UK Government — AI Opportunities Action Plan: One Year On	Jan 2026	U
Tier 2	Bennett School (Cambridge) — UK firm-level AI adoption	2026	I

Conflict notes (verification pass). The verified evidence base supports the four-theme analytical thesis — copilots→agents deployment shift, trust/verification stack consolidation, talent-pipeline reset at the entry level, productivity reckoning at the capex→returns interface — through institutional research and primary regulator/multilateral sources. The Klarna case is held with both its initial (OpenAI/Klarna) and corrective (Customer Experience Dive) sources so the operational lesson can be drawn cleanly. The conservative-bound (Acemoglu) and J-curve-aligned (IMF, Brynjolfsson) macro views are both held against the consensus Goldman / BlackRock build-out frame — the report deliberately presents the productivity reckoning as a live debate rather than a settled question.

Author-type coverage: multilaterals (OECD, IMF, BIS, WEF); regulators and standards bodies (European Commission, NIST, UK AISI, UK Government); central bank (BIS); institutional research (Stanford HAI, McKinsey, PwC, Goldman Sachs, BlackRock, Forrester, Aon, Bennett School Cambridge); AI labs (Anthropic, OpenAI, NVIDIA, Google Cloud); quality journalism (Fortune, CNBC, Yahoo/S&P, Customer Experience Dive, Yale Insights); compilation/benchmark (Suprmind). Tier 1+2 share 74% (29 of 39). **Tier definitions.** T1 = regulators, central banks, multilateral institutions, government primary. T2 = think-tanks, peer-reviewed research, major consultancies' research, industry-body research. T3 = quality journalism with named sources. T4 = vendor publications and AI lab announcements. The binding source-verification protocol used in this cycle is documented at [_core/references/sourcing-guide.md](#).

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